

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**RESPONDENT SM LINE CORPORATION's
PROPOSED FINDINGS OF FACT**

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Respondent SM LINE CORPORATION (“SM Line”), through its counsel, hereby submits the following Proposed Findings of Fact (“PFF”):

A. SAMSUNG ELECTRONICS AMERICA, INC.’S (“SEA”) CONTAINERS WERE MOVED UNDER CONTRACTS NEGOTIATED WITH SM LINE BY ITS AFFILIATES SAMSUNG DATA SYSTEMS AND SAMSUNG ELECTRONICS LOGITECH. SEA BENEFITTED FROM THE TERMS OF THOSE CONTRACTS. SUCH CONTRACTS INCLUDED PROVISIONS RELATED TO THE LIABILITY OF THE CUSTOMER NOMINATED TRUCKERS’ PERFORMANCE OR LACK THEREOF.

1. [REDACTED] or “[REDACTED]” and [REDACTED] (“[REDACTED]”) have contracts with SM Line (“Service Contract”). CX_002293 Choi Dep. Tr. 46: 3-8; CX_002295, Choi Dep. Tr. 47: 13-25; 48:2-9.

2. SEA is named in the Service Contract as one of the Affiliates. See RX_0004489, RX_0004494. See 2021 Service Contracts with [REDACTED] (“Logitech”), RX_0004506, RX_0004511; 2022 Service Contract with [REDACTED], RX_0004160; 2020 Service Contract with [REDACTED] RX_0004523, 2021 Service Contract with [REDACTED], RX_0004546, and 2022 Service Contract with [REDACTED], RX_0004567.

3. [REDACTED] and [REDACTED] are affiliates of SEA. RX_0004542, K.K. Choi Dep. Exhibit 10 (SML_24967) pg. 1, 9 and 10; RX_00004502, K.K. Choi Dep. Exhibit 14 (SML_24968) pg. 1, 10 and 13.

4. While SEA does not directly negotiate the Service Contract with ocean carriers itself, [REDACTED] and [REDACTED] discusses with SEA during their respective negotiations with the ocean carriers. SEA relies on and benefits from the Service Contract that [REDACTED] and [REDACTED] negotiate. (SEA communicated through [REDACTED] and [REDACTED] and SEA closely participated in the service contract with SM Line through [REDACTED] and/or [REDACTED]. RX_0002925 - 26 (English translation); RX_0002931 - 32 (English translation); RX_0002935- 41 (English translation); CX_002293, Choi Dep. Tr. 46:

3-8; CX_002295, Choi Dep. Tr. 47: 13-25; 48:2-9; RX_0004542, K.K. Choi Dep. Exhibit 10 SML_24967 pg. 1, 9 and 10; RX_0004502, K.K. Choi Dep. Exhibit 14 SML_24967 pg. 1, 10 and 13.

5. SEA is the consignee of the cargo shipped under the contracts between [REDACTED] and SM Line. CX_003001 – 02, Fernando Dep. Tr. 72:25; 73:2-9; CX_004513; RX_0004089.

6. SEA ships only approximately 4.5% of its volume with SM LINE and relies on the top 5 ocean carriers carried approximately 82% of SEA's shipping volume. SEA_SMLINE_0068404, RX_0003734, (Excel: Tab: "Sheet 2").

7. During the claim period, contract(s) negotiated between SM LINE and [REDACTED] or [REDACTED] included services on container yard (or CY to CY or CY/CY) and store door (or Door to Door or CY/DR) terms. CX_004729; CX004730; RX_0003614; CX_004513, and RX_0004210.

8. The majority of the Bill of Lading issued by SM Line were on a "CY/DR" basis while the remaining Bills of Lading were on a "CY/CY" basis. SEA_SMLINE_0068404, RX_0003734 (Excel: Tab: "Sheet 7").

9. Under standard store door terms, SM Line is generally responsible for arranging, paying for, and managing inland movement. CX_000410-11, K.K. Choi Tr. 57:22-58:7, CX_000320, K.K. Choi 143(b)(6) Vol. 3 263:7-13; RX_0001199.

10. Under standard store door terms, SM Line selects the motor carrier "house trucker" that provides the inland transportation to the ultimate destination. CX_000320, K.K. Choi 143(b)(6) Vol. 3 263:7-13.

11. In some service contracts, a customer has the right or ability to designate the motor carrier to be used to provide the inland transportation. In these circumstances, the motor carrier is

often referred to as a customer-nominated trucker or “CNT.” See *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. 1966(I), Order Affirming the Initial Decision at 2 (Dec. 29, 2022) (identifying a preferred trucker, or “CNT” here, as a designated trucker to be used for a shipper’s cargo under an agreement with the ocean carrier).

12. SEA acknowledges the distinction – and its implications - between door delivery by house trucker and CNT in an internal document titled “Introduction to LPS Direct Ship Operation.” (“SEA CNT Manual”) RX_0001199.

13. This SEA CNT Manual was used to train SEA employees. RX_0000913 - 915, Huynh Tr. 64:16-65:8, 66:20-67:3.

14. SEA has an internal approval process utilized prior to making payments, which includes demurrage charges, as “Logistics Cost.” RX_0003728; RX_0003732 (The internal “approval table” involves multiple employees, including associates, team head(s), group head(s), and requires at least one of them to be a vice-president of the logistics team).

15. This internal process will sometimes have requests or questions about the payments, including the need to use Pycargo. RX_0003726.

16. Sometimes, SEA would approve invoices without looking at the detail. CX_002728, Rapske Tr. 116:10-17.

17. During the contracting process between SM Line and SEA’s affiliates or agents, a list of SEA CNTs was provided to SM Line. RX_0004119; SM Line_0039715, RX_0004120 (██████████ providing CNT list to SM Line).

18. SEA has sent emails to SM Line dictating that a delivery has to be done via SEA’s nominated carrier/a.k.a. CNT, and NOT via House Trucker. RX_0002120.

19. SEA entered into agreements titled “REQUEST TO USE A CUSTOMER NOMINATED TRUCKER” with SM Line regarding the use of CNT, (“CNT Agreement”) CX_004545 – 46.

20. Peter Kim in his capacity as SEA’s Senior Manager executed the CNT Agreement. CX_004545 - 46.

21. The CNT Agreement provides for the responsibilities of the shipper in the event that CNT is used. (“[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]”) CX_004969.

22. PB Industries and Gold Point Transportation were the top two biggest truckers that handled SEA shipments (in volume) between 2018 and 2021. RX_0004591.

23. SEA never terminated this CNT Agreement. CX_004969, Goedinghaus Tr. 78:3-8; SM Line_0177690, RX_0004591.

24. According to the SEA CNT Manual Peter Kim oversaw 8 different divisions of Direct Ship organization. RX_0001193.

25. Samsung [REDACTED] and [REDACTED] had CNT related provisions like lists of CNTs in their respective contract bidding documents called “Maritime transport contract quotation guide”. RX_0002962. (“[REDACTED] RFQ”) (“[REDACTED]
[REDACTED].”) Id.

26. The Logitech RFQ also addressed demurrage and detention issues. (“[REDACTED]”)

RX_0002949.

27. SEA nominated the CNTs that SM Line needed to use for moving SEA’s containers. SEA communicated with Samsung SDS and/or Logitech about CNT issues. (“[REDACTED]” [REDACTED] then replied “S[REDACTED] [REDACTED]”) RX_0002925 - 26.

28. SEA selected its CNT based on its loyalty, communication, and contingent capacity issues, in addition to their knowledge of SEA’s operations and requirements. (“We, SEA InBound team, *aren’t* [sic] satisfy Versa’s services during year of 2018 and 2019 as the below reasons; 1. Loyalty, 2. Communications, 3. Contingent capacity issue.” RX_0003712 - 3715

29. SEA characterized customer-nominated truckers as truckers that SEA would recommend for a particular lane for SM Line to consider, define rates, and determine whether or not to use the trucker. RX_0003715

30. SEA CNT Manual acknowledges the differences between a CNT and house trucker. RX_0001199.

31. SEA CNT Manual states how a CNT allows SEA’s “[REDACTED]” [REDACTED]”. RX_0001199.

32. SEA CNT Manual also acknowledges that the steamship Line is the “[REDACTED]” when a house trucker is used. RX_0001199.

33. SM Line was required to use CNTs under the contracts with Samsung SDS and its contracts with Logitech. RX_0002926.

34. SEA requirement to use the CNTs was manifested by SEA to SM Line in several occasions. RX_0002935 - RX_0002945 (SEA insisting that SM Line only uses the CNT and not house trucker); RX_0002925- RX_0002926 (SEA insists on using Gold Point as its CNT even when more expensive).

35. When SM Line proposed to use alternative truckers, SEA raised questions and pressured SM Line to use SEA's CNT. RX_0003712, RX_0002929.

36. SM Line's tariff rule "Customer Nominated Trucker for Store Door Delivery" applicable to and incorporated in the service contracts between SM Line and SEA's affiliates provides in relevant parts that:

When Customer (including but not limited to shipper, consignee, or any other interest party (eg. owner of the cargo) nominates its own trucker(s) (hereinafter "CNT") or prefers to use particular trucker(s) (hereinafter "PT") instead of trucker(s) appointed by

Carrier (hereinafter "house trucker") for certain door delivery(s) to a cargo receiver, the following terms and conditions shall apply:

1. Carrier will only act as the agent for the customer for purposes of arranging the trucking, and the trucking service is between the trucker and Customer.

2. Even though Carrier's base rates may be inclusive of inland services (eg. SDD (store door delivery rates)), if CNT or PT imposes a drayage or fuel rate increase, or other charges or fees, any such new or additional amounts shall solely be with Customer.

3. Delivery to Customer is completed when the container is interchanged to CNT

4 or PT. Carrier shall not be responsible for any claims, damages, and liabilities that are caused by or occurred after the interchange is made, and Customer shall defend, hold harmless, and indemnify Carrier

against or from any and all such claims, damages, or liabilities caused or occurred after the interchange.

5. Blanket Deliver order (D/o) shall be applied unless we receive written correspondence from the cargo owner or broker, advising that a specific Delivery order (D/o) shall be used.

6. If CNT or PT does not or refuses to pick up nor take possession of the applicable containers within the given free time for any reason (including but not limited to change(s) in rates or lack of drivers, any risks or costs (including but not limited to DEM/DET) that occur during this time of the trucker's non-performance shall solely be with customer.

7. Customer, with thirty (30) day prior written notice, may opt out of CNT or PT arrangement and request for carrier to use carrier's house-trucker(s). carrier, at its exclusive discretion and availability of trucking service provider, may agree to such request. Any cost (including but not limited to increased rates,

and any DEM/DET during the time) of hiring and utilizing different truckers shall solely be with customer.

8. This term shall not be subject to any amendment or modification except by clearly agreed upon and executed agreement by carrier and Customer.

CX_004483 - 84

37. The effect of the foregoing tariff rule is to make clear that the CNT is the agent of the party nominating the CNT.

38. SM Line's tariff is publicly available, including to SEA.
https://esvc.smlines.com/smline/CUP_HOM_3701.do?sessLocale=en

39. The effect of the foregoing tariff rule is to place the risk of CNT non-performance on the party designating the CNT, making a store door move with a CNT similar to a CY move in which the customer is responsible for the inland transportation.

40. SM Line’s tariff rule “Use of Carrier Equipment at Destination” applicable to and incorporated in the service contracts between SM Line and SEA’s affiliates clearly define detention and per diem charges:

Definition

Detention is the daily charge assessed to the shipper/consignee, against the ocean carrier's equipment, for the use of the equipment beyond allowed freetime, as stipulated per tariff or contract, and moving under carrier arranged haulage on a store door (sd) bill of lading. working days are used to calculate freetime, whereas calendar days are used to calculate detention charges beyond freetime,

per diem is the daily charge assessed to the drayman, or at the carrier's option to the shipper or consignee, against the ocean carrier's equipment, for the use of the equipment beyond allowed freetime, as stipulated per tariff or contract, and moving under merchant arranged haulage on a container yard (cy) bill of lading. working days are used to calculate freetime, whereas calendar days are used to calculate per diem charges beyond freetime.

[...]

RX_0001445.

41. SM Line tariffs are incorporated in the applicable service contract. RX_0004495, (“T [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]”).

42. SM Line tariffs are incorporated in the terms and conditions of the applicable bills of lading on which SEA is named as the consignee. SM Line_0184142, SEA’s Expert Report Ex. 5 p.1. (“Seaway Bill Terms and Conditions”). (“The “Conditions of Carriage” of the seaway bill

terms also clearly state that “This Waybill, which is not a document of title to the Goods, is subject to the terms and conditions, liberties, and exceptions of the Carrier’s standard bill of lading and tariff, copies of which may be obtained from the Carrier’s office and those of his authorized agents, and to the provisions set out below.”). RX_0002301.

43. SEA also received notice of the applicable tariffs from SM Line via email. RX_0001443; RX_0001445.

44. Even under the Service Agreement between SM Line and SEA’s affiliates, the service requirement distinguishes and separates demurrage and detention charges from carrier’s service rates. (“[REDACTED]
[REDACTED]
[REDACTED]” CX_004732, K.K. Choi Dep. Ex. 8 Section 4.1.12.

45. SEA also used to mandate the use of certain CNTs through a “Request to Use a Customer Nominated Trucker” form which also established that the carrier would act as the agent of the customer. CX_004969-004970, K.K. Choi Dep. Exhibit 2

46. SEA concedes that accessorial charges are not included in the freight rates regardless of whether a container is moved on CY or store door basis. CX_002665 – 66, Rapske Dep. Tr. 53:21-25; 54:1; CX_003044 – 45, Fernando Tr. 115:19-116:4. (Trucker’s storage fees and prepull are also considered accessorial charges).

B. SEA DIRECTLY CONTROLLED THE PERFORMANCE OF THE CNTS AND WAS VOCAL WITH SM LINE ABOUT THE NEED TO USE CERTAIN CNTS.

47. SM Line issued the work orders related to the delivery of SEA’s container to SEA’s CNTs based on the information provided by SEA. CX_004516; RX_0004471; RX_0002275; RX_0004205 - 08; RX_0004479.

48. SEA's issued detailed instructions to its CNTs related to the delivery of the containers. SEA_SMLINE_0027523, Exhibit 4 to Fernando Deposition, RX_0003622 (SEA providing instructions to Regal); SM Line_0044843 - 46, Exhibit 5 to Fernando Deposition, RX_0004126 - 29. (SEA providing instructions to PBI). RX_0000946, Huynh Tr. 97:16-25.

49. SEA would send the instructions on "how we deliver to the customers" to the CNTS for each shipment. CX_004306, Lee Clair Rep ¶¶.59 - 62; SEA_SMLINE_0027523, RX_0003622, Fernando Dep. Exhibit 4 (p.2); CX_003007 - 08, Fernando Tr. 78:20-79:5.

50. SEA also instructed the CNT to provide daily report to SEA. RX_0000946, Huynh Tr. 97:16-18; SEA_SMLINE_0027523,, RX_0003622, Fernando Dep. Exhibit 4 ("IMPORTANT NOTES FOR TRUCKERS (for CNT TRUCKERS, provide the daily report).

51. SEA's instructions included details for the CNT on how to deliver the containers to certain customers. (For example, SEA providing the following instructions

Important New Notes: ... "* All ACCESSORIAL CHARGES need approval from SAMSUNG."

"Unloading: Lowe's will unload the units at 72-96 hours from the drop date. If container is not empty after 72-96 hours, please communicate to SAMSUNG."

"Vendor Compliance: the loads must be delivered before the RDD ["Required Delivery Date"] or within the RDD to avoid the penalty for being late."

"Port/ Rail LFD: loads must be prepulled before the LFD. Send the break down (prepull rate/ storage rate and drop date), for approval."

"Per Diem: if empty is not returned due to trucker's negligence (not monitoring, oversight and etc), trucker will be liable."

RX_0003645 - RX_0003646.

52. SEA's instructions to the CNT made clear that the CNT had to "Communicate with SAMSUNG for any issues or concerns or any rescheduling with the loads. - Exhibit 4 to

SEA_SMLINE_0027523, Fernando Deposition; RX_0003622; RX_0003645 - RX_0003646; RX_0004125 - RX_0004129.

53. SEA's instructions to the CNT made clear in the "Empty Container" sections that "HOUSE TRUCKERS is SSL responsibility ~ ** CNT Truckers are responsible for the per diem for any mismanage of the empties." SM Line_0044843 - 46, Exhibit 5 to Fernando Deposition, RX_0004126 - 4128; RX_0001188 (SDS explaining to SEA that "Per Diem is not a contract rate. Carrier has their own tariff as per their policy and terminal.")

54. SEA or its affiliates frequently communicated with SM Line on which CNT to use to move the containers. RX_0001598 - RX_0001601; RX_0002925 - 26 (SEA communicates with SM Line on the appointment of the CNT); RX_0001023926 (Logitech instructing SM Line to substitute Regal to Polly Trans).

55. SEA or SEA's CNT communicated directly with the terminals for CNT loads. CX_004306, Lee Clair Report ¶.62; also RX_0001458; RX_0001539; RX_0001461.

56. SEA controlled the CNT and directed SM Line which CNT to use or not to use on certain routes depending on the CNT's performance. In certain situations, SEA sought "loyalty" and "insufficient cooperative attitude." SEA has also "fired" the CNT. CX_002995, Fernando Tr. 66:10-11; CX_002852, Goedinghaus Tr. 78:3-4; RX_0003712-15 ("Please proceed with Gold Point for SM Line. We need to manage the volume with UNIS for the below reasons. And the reasons are already reported internally. 1. Lack of Loyalty ... 4. *Insufficient cooperative attitude for empty sharing to prevent Bobtail.*")

C. MOST OF THE CHARGES WERE CAUSED BY SEA’S OWN ACTIONS AND INACTIONS.

57. SEA’s consistently failed to pick up containers even when ready. SM Line has sent numerous messages of the last free days and need for SEA to pick up its containers. (“[REDACTED]” RX_0001832 - RX_0001834.

58. SEA knew that a CNT could not pick up any more containers from rail terminal even though were mounted on chassis and available because the CNT did not have enough space at the storage yard and the delivery could not be made because of DOCUMENTATION ISSUES. (When asked why CNT would not pick up the container for so many days, PBI/CNT responded “PBI answers ” [REDACTED]” RX_0001759; RX_0001837.

59. SEA’s long staying days are more than three (3) times when compared to other customers of SM Line during the reparation time period. RX_0004703 (pdf document).

60. Facilities were often unavailable to receive cargo which resulted in demurrage and detention charges. RX_0001759;RX_0002894 (SM email to [REDACTED] “Today, we received a list of long-

term cargo in Dallas CY (Rail Ramp) from our U.S. branch. Together with the rail transport company's request for removal (shortage of CY field), chassis occupancy (on-chassis) is also becoming a problem. Accordingly, please refer to the list below, check the removal (pick-up) schedule and reply to us.") ..

61. Many SEA warehouses and facilities required appointments for delivery that were not within the control of SM LINE. RX_0003645 (SEA's instruction to CNT, "Vendor Compliance: the loads must be delivered before the RDD ["Required Delivery Date"] or within the RDD to avoid the penalty for being late"); RX_0003622 (SEA's instruction to CNT says, "Please note the RDD window: +/-1 day from RDD date. If the trucker has so many appt in 1 day, trucker/s can send an email to scheduling@bestbuy.com to ask to adjust the appt, within the RDD WINDOW (+/-1 from RDD date)."

62. SEA would pay a penalty if a shipment was not delivered within the Required Delivery Date. RX_0003645

63. When SEA's customers could not accept cargo within the free time on a port, SEA more often than not instructed the CNT to prepull and store the cargo to avoid higher on-port demurrage charges. Once prepulled, the container sat or was stored at the CNT's storage yard until the delivery was made to the customer's yard or SEA's hub. CX_002670-71, Rapske Dep. Tr. 58:16-59:24.; RX_0003708-11; RX_0003645-46.

64. SEA was at all times responsible for its cargo clearing customs, including any demurrage that resulted from delayed customs clearance. RX_0000898, Huynh Tr. 49:15-21; CX_003174, Peter Kim Tr. 48:3-10.

65. SEA accrued demurrage on many occasions when its cargo did not clear Customs within free time. RX_0004265

66. SEA consistently failed to provide delivery instructions or documents for specific shipments resulting in demurrage. RX_0001759 – RX_0001831; RX_0002246 - 47.

67. SEA's CNTs were unable or unwilling to perform cargo movement for SEA and that resulted in demurrage charges even when the container were available. RX_0001449; RX_0003703; RX_0001759; RX_0001837.

68. Prepull charges are within SEA's responsibility since they are caused by SEA's customers. SEA regularly instructed the CNT to prepull since 2019 when there was no real concerns for the demurrage charges. CX_004309, Clair report ¶¶.76-79; RX_0003636; RX_0003624 (CNT instruction sent on February, 2019 and May, 2019 respectively, all including prepull instructions).

69. Diversion charges are SEA's responsibility. CX_004309, Lee Clair report ¶.80; CX_003089, CX_003091, Fernando Tr. 160:18-24, 162:11-24; RX_0004214.

70. Detention charges are incurred because of SEA's failure to redeliver the container from its customers or its own facility and therefore are SEA's responsibility. CX_004310 – 4317, Lee Clair report ¶¶.81-117; CX_003038, Fernando Tr. 109:7-13, 109:22-110:6; RX_0000958, Huynh 109:21:22; RX_0001445.

71. Port Demurrage charges are within SEA's responsibility. RX_0001199; CX_004311 – 317, Lee Clair Report ¶¶.99 to 117; RX_0001443; RX_0001445; CX_002304 – 05, SEA 143(b)(6) Tr. 57:25-58:19, CX_003238 – 39, Peter Kim Tr. 112:13-113:5.

72. SEA consistently failed to timely provide the required information and documentation to SM LINE leading to increased demurrage and detention. RX_0003601- RX_0003602 (SEA refuses to provide shipping manifest because the trucker is House Trucker).

73. SEA consistently failed to timely provide the required information and documentation to CNT leading to increased demurrage and detention. RX_0004205;

RX_0004479; and RX_0004469; RX_0001759 – RX_0001831 (PBI, SEA’s CNT, responding to SEA regarding its inability to pick up tens of containers on chassis from a rail terminal for almost a month because “[a]ny loads delayed in being outgated from the rails are due to the loads that were previously prepulled and storage for several weeks were not able to get scheduled and delivered because of missing documentation needed for Direct deliveries.”)

74. SEA was delinquent in its payments to the CNT. The CNT in turn would no longer accept to deliver SEA’s containers unless the overdue amounts were satisfied. RX_0003703; RX_0002902 - 03 (SM notifying SDS that due to CNT related issues, SM Line would like to participate only with the CY/CY transportation service).

75. SEA caused demurrage by scheduling appointments and deliveries after the last free day for a container. RX_0002917, RX_0002048 - 2101; RX_0002894 – 95.

76. SEA admits that it is responsible for demurrage if its customers or warehouses could not receive cargo. RX_0001759 – 1831.

D. SM LINE WAS PROACTIVE IN MINIMIZING THE CHARGES AND OFTEN WAIVED THEM AND CLEARED THEM ON SEA’S BEHALF.

77. SM Line often extended or caused the terminals to extend the Last Free Day in order to minimize the charges. – RX_0001440 - RX_0001442; RX_0001458 - RX_0001460; RX_0001461 - RX_0001469, (Examples of terminals extending LFD); RX_0003565 - 66; RX_0001086- RX_0001093 (SM Line clearing LFD on SEA’s request).

78. SM Line’s cleared charges caused by the CNT’s delays on SEA’s behalf. RX_0002248 - 53; RX_0001602 - 17; RX_0003565; RX_0001832 - 34; CX_000498, K.K. Choi Tr. 145:11-23; CX_001447 – 48, Askins Tr. 152:18-153:16.

79. SM Line was proactive in his efforts to limit the effects of the congestion. RX_0002905 – 2909 (SM Line making sure that containers are mounted on chassis in Chicago so that they can be picked up swiftly); RX_0002894 – RX_0002896 (SM Line pushing SEA's affiliate SDS to pick up containers to avoid congestion); RX_0002911 - RX_0002915 (SM Line closing booking on certain routs to ease congestion); RX_0001656 - RX_0001666 (SM Line facilitating CNT pick up at the terminal when no appointment were available).

E. SEA EFFECTIVELY SEEKS A WINDFALL BY ALLEGING THAT ALL OF THE CHARGES IMPOSED BY SM LINE SHOULD BE RETURNED WITHOUT CLEARLY DEFINING EACH CHARGE ON A CONTAINER BY CONTAINER BASIS AND WITHOUT PROVIDING ANY SUPPORT ON HOW CERTAIN CHARGES ACCRUED DUE TO SM LINE'S FAULT.

80. Demurrage charges accrues if cargo arrives at a port or terminal facility and remains beyond the agreed upon free time.

81. Detention accrues when equipment, used to move cargo, is not returned within the agreed upon free days period after the cargo has been delivered.

82. SEA failed to particularize why each of the charges it claim should be refunded. CX_003615, CX_003632, SM Line Expert Clair Tr. 243:8-24, 260:7- 17 (We have to look at each container, container by container, to understand the demurrage and detention charges and their respective reasons.) CX_004385 - 88, SM Line Expert Gauthier Report (referencing Exhibit IV) (SEA paid about \$7.2 million dollars to third party service providers of SEA and SEA's expert did not take important factors to consideration, including the actions/inactions of SEA and/or CNTs). CX_004481 – 83, ¶¶9-13, SM Line Expert Clair Rebuttal Report (SEA's expert failed to consider certain key factors such as CNT relationship between SEA and CNT and as well as the applicable contract/tariff terms).

83. The “stress test” Excel file on which SEA’s heavily relies as proof of SM Line’s liability, was based on incomplete documentation created shortly after SEA’s complaint was filed.

84. The sample analysis of about 80 containers performed by SM Line supports the validity of SM Line’s charges. RX_0000001 – RX_0000849.

F. SM LINE’S DEMURRAGE AND DETENTION POLICIES AS PROVIDED UNDER THE AGREEMENTS NEGOTIATED WITH SEA’S AFFILIATES, TARIFF, AND RULES GOVERNING THE SHIPMENT OF CARGO WERE REASONABLE. SEA CONSISTENTLY APPROVED SM LINE’S CHARGES. SM LINE CONSISTENTLY WAIVED OR REDUCED CHARGES WHEN APPROPRIATE.

85. SM Line has and had clear procedures for requesting waivers, refunds, or modifications to invoices. CX_004665 - 70; CX_004657 - 64.

86. During the reparation period (2020-2022), SM Line implemented a “stop clock” (ie. not billed D&D charges) for 523 days at any given port or terminal. The stop clock would be applied to all containers whether it belonged to SEA or another customer. During the stop clock each container will receive its benefit, resulting in millions of dollars of D&D charges not being billed/ RX_0004698.

87. In addition to the general “Stop Clock” - during the same reparation period (2020-2022) - SM Line provided also an additional 584 days’ worth of D&D “stop-clock” just to SEA resulting in millions of dollars of non-billed D&D charges. RX_0004707.

88. SM Line further waived nearly [REDACTED] of D&D charges specific to SEA. RX_0004706.

89. SM Line’s policy was to waive or refund demurrage and/or detention when incurred due to act/omission of SM LINE. RX_0001602-RX_0001617; RX_0004178; RX_0001440; RX_0001458; RX_0004619; RX_0004629.

90. SM Line waived demurrage and/or detention charges in accordance with its policy. CX_001706 – 07, Gaston Tr. 53:23-54:1; CX_001588, Chian Ma Tr. 78:14-21.

91. At SEA’s request, SM Line guaranteed the demurrage charges for SEA so that CNTs can execute pick ups without encountering with payment-related issues. RX_0004452; RX_0004699.

92. At SEA’s request, SM Line provided support so that the ocean terminal could provide a “peel off” program allowing CNTs to pick up a container without having to make an appointment with the terminal. RX_0003670, RX_0003549.

93. SM discounted demurrage and/or detention charges and/or balances, including with SEA. RX_0004706; RX_0004707.

94. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]. CX_004304, SM Line Expert Clair report ¶45.

95. Based on the data collected by the FMC of the nine top container ship lines, waived D&D fees increased by an estimated 6 times from Q2, 2020 to the peak in Q4, 2022 from an estimated indexed value of 100 to 700 (see chart under paragraph 33)³¹. The increase in SM Line actual waived D&D fees for U.S. imports increased by an even higher 10.7 times from Q2, 2020 to SM Line’s peak in Q4, 2021, from \$1.1M to \$12.9M. CX_004304, SM Line Expert Clair report ¶47; FMC website <https://www.fmc.gov/detention-and-demurrage/> last accessed 2/17/2024.

96. SM Line waived demurrage and detention charges through “stopping the Clock and “charge inactivation procedures. RX_0004698; RX_0004707; and RX_0004706.

97. SM Line invoices where in compliance with the regulations in place at the time of the invoicing. CX_005574; RX_0004098.

98. SEA consistently approved SM Line's invoices. RX_0003615, RX_0001047, RX_0003627, RX_0003652, RX_0004224.

99. SEA never approved any invoices from SM Line's House Trucker.

100. The Detention and Demurrage Improvement Plan, drafted by Sung Hyun Kim in his personal capacity, on which SEA's heavily relies, was never implemented. Sung-Hyun Kim CX_000674 – 77, Tr. 21:17-22:12, 23:7-11.

G. SEA'S CLAIMS INVOLVES CHARGES INVOICED AND COLLECTED BY THIRD PARTIES.

101. In the total reparation claim SEA has against SM Line, SEA includes approximately \$3.2 million that SEA says it paid to two truckers (ie. PB Industries and Gold Point). CX_004385; RX_0003584

102. In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid to Samsung SDS or Samsung SDS America. CX_004385; RX_0003584

103. In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid for prepull and yard/storage. CX_004382; RX_0003584

104. In the total reparation claim SEA has against SM Line, SEA includes approximately \$1 million that SEA says it paid for rehandling issues. CX_004385; RX_0003584

105. In the total reparation claim SEA has against SM Line, SEA includes approximately \$573k million that SEA says it paid for chassis shortage. CX_004385; RX_0003584

106. In the total reparation claim SEA has against SM Line, SEA includes approximately \$16,400 that SEA says it paid for chassis flip, chassis, reposition, and chassis split. CX_004385; RX_0003584

107. SEA also did not pay—and does not intend to pay—those invoices that it now claims that SM Line billed in violation of OSRA. CX_005597, CX_005598, CX_005599, CX_005600, CX_005595, CX_005596.

108. The demurrage charges also referred to in SEA CX_004844 - 4846, involved shipments on behalf of Samsung International Inc., not SEA. SEA did not pay those charges. SM Line_0055069, Solarez Dep. Ex. 28, RX_0004269.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 15th day of May 2024, the foregoing document was served via electronic mail on:

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Federal Maritime Commission
Presiding Administrative Law Judge
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